# Pension Fund Act, 2019

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Pension Fund Act, 2075

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Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081
2081.12.18

Act Number 30 of the Year 2075

An Act Made to Make Provision Relating to Pension Fund

Preamble: Whereas, it is expedient to establish and operate a Pension Fund to implement a contributory pension system for government employees and to manage the pension or gratuity amount receivable after retirement by employees appointed to receive pension from the Government Fund pursuant to the prevailing law,

The Federal Parliament has enacted this Act. Chapter-1
Preliminary

1. Short Title and Commencement: (1) This Act may be cited as the "Pension Fund Act, 2075".
(2) This Act shall commence immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-
(a) "Chairperson" means the Chairperson of the Committee.
(b) "Retirement" means retirement due to age or service period pursuant to the law relating to conditions of service of an employee, and the term also denotes the state of having left the service for any reason.
(c) "Employee" means a government employee who shall be affiliated to the contributory pension system pursuant to Section 9.
(d) "Office" means the office related to the government service in which the employee to be affiliated to the contributory pension system is working.
(e) "Fund" means the Pension Fund established pursuant to Section 3.
(f) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.
(g) "Ministry" means the Ministry of Finance of the Government of Nepal.
(h) "Contributory Pension System" means a system of deducting an amount from the monthly salary of an employee and depositing it into the Fund, adding an amount from the Government of Nepal to that Fund, and providing pension or amount from the same Fund upon retirement.
(i) "Personal Account" means the personal pension account in the name of an employee pursuant to Section 11.
(j) "Member" means a member of the Committee, and the term also denotes the Chairperson and the Member-Secretary.
(k) "Committee" means the Board of Directors of the Fund pursuant to Section 6.
(l) "Service" means the service pursuant to the prevailing law relating to conditions of service of employees

included in the contributory pension system under this Act. Chapter-2
Establishment of the Fund

3. Establishment of the Fund: (1) A Fund named "Pension Fund" shall be established for the purpose of providing amounts including pension to employees.
(2) The central office of the Fund shall be located in Kathmandu Valley, and the Fund may open provincial offices or branch offices as required and may appoint representatives for the work of the Fund in any place. 4.

Fund to be an Autonomous and Corporate Body: (1) The Fund shall be an autonomous and corporate body with perpetual succession. (2) The Fund shall have its own separate seal for its business. (3) The Fund may, subject to this Act, acquire, use, accumulate, sell, and otherwise dispose of movable and immovable property. (4) The Fund may sue in its own name and be sued in the same name. 5. Amounts to be in the Fund: (1) The Fund shall consist of the following amounts:- (a) Amount deducted from the monthly salary of an employee pursuant to Section 10, (b) Amount provided annually by the Government of Nepal for the purpose of providing pension and gratuity to employees appointed before the commencement of this Act in the service under Section 16 entitled to receive pension, and teachers of community schools, (c) Amount including interest, dividends, and profits received from the investment of the Fund's amount, (d) Other amounts received by the Fund for the operation of the contributory pension system, (e) Amount provided by the Government of Nepal specifying the purpose. (2) The Government of Nepal shall provide additional amounts to the Fund from time to time to make the work of providing amounts including pension to employees easy and sustainable. (3) The amount received by the Fund pursuant to sub-section (1) or (2) shall be deposited by opening an account in a "Class A" commercial bank licensed by the Nepal Rastra Bank as specified by the Committee. Chapter-3 Provisions Relating to the Board of Directors 6. Formation of the Board of Directors: (1) There shall be a Fund Board of Directors for all work to be done on behalf of the Fund. (2) The Committee shall be formed as follows:- Position Description (a) Officer of the Special Class specified by the Government of Nepal - Chairperson (b) Joint Secretary, Ministry - Member (c) Joint Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member (d) Joint Secretary, Ministry of the Government of Nepal looking after matters relating to personnel administration - Member (e) Executive Director - Member-Secretary 7.

Meetings and Decisions of the Committee: (1) A meeting of the Committee shall be held at least once every two months on a date, time, and place specified by the Chairperson.
(2) The Member-Secretary of the Committee shall provide the agenda for discussion at the meeting, along with a list of subjects, to all members at least twenty-four hours before the meeting.
(3) The presence of the Chairperson and two other members shall constitute a quorum for a meeting of the Committee.
(4) The meeting of the Committee shall be chaired by the Chairperson, and in their absence, by a member designated from among the members present.
(5) The opinion of the majority of the members present at a meeting of the Committee shall prevail, and in case of a tie, the Chairperson shall have the casting vote.
(6) Decisions of the Committee shall be authenticated by the Member-Secretary.
(7) The Committee may invite any expert or any officer of the Government of Nepal to its meeting.
(8) Other provisions relating to the meetings of the Committee shall be as determined by the Committee itself.
(9) The Chairperson and members shall receive meeting allowances as prescribed for participating in the meetings of the Committee. 8. Functions, Duties, and Powers of the Committee: In addition to the functions,

duties, and powers mentioned elsewhere in this Act, the functions, duties, and powers of the Committee shall be as follows:-

(a) To formulate necessary policies to make the contributory pension system reliable and effective and submit them to the Government of Nepal,

(b) To approve the annual program and plan of the Fund,

(c) To determine the basis (norms) and standards for capital management and investment of the Fund,

(d) To carry out necessary work to make the Fund sustainable, reliable, and systematic,

(e) To make arrangements for employees entitled to receive pension or gratuity under this Act to receive the amount in a simple manner,

(f) To operate the Fund in an economical and systematic manner,

(g) To carry out or cause to be carried out necessary studies and research regarding affiliating employees other than government employees to the contributory pension system,

(h) To perform other functions as prescribed. Chapter-4

Provisions Relating to Contributory Pension System

9. Inclusion in the Contributory Pension System: Employees appointed permanently in the following government services after the commencement of this Act shall be included in the contributory pension system by contributing to the Fund pursuant to Section 10:-

(a) Civil Service,

Explanation: For the purpose of this clause and clause (a) of sub-section (1) of Section 16, "Civil Service" shall also mean Nepal Health Service and the Legislature-Parliament Service.

Added by the Act to Amend Some Nepal Acts Relating to Good Governance Promotion and Public Service Delivery, 2081.(a1) Teacher Service,

Explanation: The provision under this clause shall commence from Baisakh 1, 2082.

(b) Nepali Army Service, Nepal Police Service, Armed Police Force, Nepal Service, and Nepal Special Service. 10. Contribution of Employee to the Pension Fund: (1) The Office shall deduct an amount equal to six percent from the monthly salary of the employee and, adding a hundred percent amount from the Government of Nepal, deposit it into the Fund.

(2) Notwithstanding anything written in sub-section (1), if an employee is on leave without pay or extraordinary leave or is suspended, no amount shall be deposited into the Fund for the duration of such leave or suspension. Provided that, if the suspension is revoked without the charge against such employee being proven, the Office shall deduct from the amount receivable by them as salary and deposit into the Fund the lump sum amount under sub-section (1) for the suspension period.

(3) The Fund shall regularly deposit the amount received from the Office under this section into the personal account of the employee within the prescribed period. 11. Personal Pension Account of Employee: (1) There shall be a separate personal pension account in the Fund for each employee.

(2) The Fund shall deposit into the employee's personal account the amount received by deduction from the monthly salary of the employee working in the service under Section 9, the amount added by the Government of Nepal, the interest thereon, and the prescribed amount of profit earned by the Fund.

(3) The Fund shall update the details, including the amount deposited in the employee's personal account, its interest, and profit, within three months of the end of each fiscal year.

(4) The Fund shall make necessary arrangements so that the details of the amount deposited in the employee's personal account can be viewed easily and conveniently, or a copy of such details can be obtained by the concerned employee at any time. 12. Entitlement to Pension: (1) An employee who has completed a total service period of twenty years or more and leaves the service shall receive a monthly

pension from the Fund for life, calculated as follows:-

$$\text{Total Service Years} \times \text{Amount of Last Salary}$$

$$50$$

(2) The Government of Nepal shall, after every three years from the following month, add an amount equal to 10 percent of the pension amount being drawn and make payment to the employee receiving a pension from the Fund. 13.

Family Pension to be Provided: (1) If an employee who has completed a total service period of twenty years dies before receiving the pension under Section 12 or after receiving it, their joint family husband or wife shall be provided an amount equal to fifty percent of the pension amount receivable by the employee as family pension. (2) Notwithstanding anything written in sub-section (1), if the deceased employee does not have a joint family husband or wife, or if such husband or wife dies after starting to receive the family pension, or if such husband or wife remarries, the minor children of the deceased employee up to the age of eighteen years shall receive such family pension. (3) In a situation where more than one minor child of an employee is entitled to receive family pension under sub-section (2), such pension shall be provided equally. 14. Entitlement to Amount upon Leaving Service: (1) If an employee is no longer in service for any reason before completing a total service period of twenty years, they shall receive the amount deposited in their personal account, including interest and profit, as a lump sum. (2) If an employee dies before completing a total service period of twenty years, the amount deposited in their personal account, including its interest and profit, shall be received as a lump sum by the person they wished. (3) Notwithstanding anything written in sub-section (2), if the deceased employee did not wish for anyone, or the wished person has also died, a claimant who took care of such employee, or if there is no such claimant, the claimant pursuant to the prevailing law, shall receive such amount. (4) Other provisions relating to an employee receiving a refund of an amount from the Fund shall be as prescribed. 15. Entitlement Only to the Amount Deducted from Salary and Interest Thereon: Notwithstanding anything written elsewhere in this Act, if an employee is dismissed from service in a manner that renders them ineligible for government service in the future, they shall only receive a refund of the amount deducted from their monthly salary and the interest earned on such amount. Chapter-5 Provisions Relating to Providing Pension or Gratuity Through the Fund 16.

Payment of Pension or Gratuity Through the Fund: (1) Pension or gratuity required to be provided to employees permanently appointed before the commencement of this Act in the following services entitled to receive pension from the Government Fund, and teachers of community schools, as well as the amount payable as pension to such employees or teachers of community schools who are receiving pension from the Government Fund at the time of the commencement of this Act, shall be paid through the Fund:- (a) Civil Service, (b) Nepali Army Service, Nepal Police Service, Armed Police Force, Nepal Service, and Nepal Special Service, (c) Nepal Teacher Service. (2) The Government of Nepal shall provide the Fund annually with the amount required for the purpose of paying pension or gratuity pursuant to sub-section (1). (3) The Fund shall manage the amount received pursuant to sub-section (2) by keeping it in a separate account. 17. Payment Through Institution: The Fund shall make arrangements to pay the amount including pension to be provided under this Act through an institution by entering into an agreement with the institution as prescribed. Chapter-6 Provisions Relating to Investment of the Fund's Amount 18.

Investment of Amount in the Fund: (1) The Fund may invest the amount in balance as follows:- (a) In bonds issued by the Government of Nepal, (b) In cash certificate fixed deposits of commercial banks, (c) In cash certificate fixed deposits of financial institutions deemed appropriate by the Fund with adequate bank guarantee, (d) As a loan to any industry or corporate body on the guarantee of the Government of Nepal on terms specified by the Fund, (e) Investment in shares of banks and financial institutions up to a maximum of twenty-five percent, (f) In joint loans based on an agreement between them with the understanding of collateral segmentation (participation) on the basis of co-financing together with any bank or financial institution, (g) In debentures issued by any company or corporate body, not exceeding a maximum of twenty-five percent, (h) In activities such as operating employee housing projects, purchasing land and constructing buildings, and renting out buildings, either by the Fund itself or jointly with other institutions, (i) In areas deemed appropriate by the Fund, with the approval of the Government of Nepal, taking adequate collateral or guarantee, (j) In any work beneficial to employees, with the approval of the Government of Nepal, considering the security of the Fund, (k) In industries in productive sectors, with the approval of the Ministry, (l) In projects of the Government of Nepal, (m) In international bonds or foreign currency, based on the capital adequacy of the Fund, with the approval of the Nepal Rastra Bank, (n) In Treasury Bills sold by the Government of Nepal, (o) In other necessary work to be done by the Fund under this Act. (2) Notwithstanding anything written in sub-section (1), the Fund shall prepare an investment plan ensuring that an amount sufficient to provide pensions for at least three years remains in balance in the Fund. (3) For the purpose mentioned in sub-section (1), the Fund may establish a subsidiary company or institution either by itself or in joint investment with other institutions specified by the Government of Nepal on a prescribed basis. (4) Notwithstanding anything written in sub-section (1), the Fund must obtain prior approval of the Government of Nepal before investing the amount under clause (b) of sub-section (1) of Section 5. 19.

Security of the Fund: (1) Notwithstanding anything written in the prevailing law, the following matters shall be as follows:- (a) No claimant of an employee shall have any right over the amount deposited in the personal account of the employee in the Fund by way of share, (b) No creditor shall have any claim against the amount receivable by an employee from the Fund on the basis of a court judgment or any other basis, (c) The amount receivable by an employee from the Fund shall not be deducted in the event of confiscation of property or recovery of amount under the prevailing law, (d) The amount receivable by an employee from the Fund shall not be deducted for government dues receivable, (e) No income tax shall be levied on the amount in the personal account of an employee in the Fund or the amount received by the employee as profit of the Fund, (f) If the Fund invests an amount in a company or gives a loan to a company, and if that company is dissolved and its assets distributed, the Fund shall have the first priority over the assets of such company for the recovery of its investment, dividends accrued, and the outstanding amount of the loan, (g) If an amount is due to the Fund from any person, and that person's assets are subject to equal distribution among creditors, the Fund shall have the first priority over their assets for the amount receivable, (h) If the entire amount cannot be recovered from the assets taken as collateral from any corporate body, the remaining amount may be recovered from other assets of such corporate body pursuant to the prevailing law, (i) If any person fails to pay the amount of loan, advance, debt, or interest due to the Fund on time according to the document executed by them, the Fund may, after thirty-five days from the due date, sell by auction the house, land, or any other property for which such person has provided a deed of collateral or mortgage or any property for which a guarantor has provided a deed of surety, and recover such amount, and if no one purchases it during such auction, the Fund may take over such property, (j) The Fund's right over the collateral shall not be extinguished merely because the Fund, having taken a deed of collateral over any property, did not initiate action to take possession of the collateral or recover the loan within the period specified in the conditions of the deed, (k) The Fund may fix a term exceeding five years when giving a loan or advance to any person against the collateral of immovable property. (2) The Fund shall send a letter to the Land Revenue Office or concerned office for the transfer, entry, and deletion of the property taken over by the Fund pursuant to clause (i) of sub-section (1), and upon receipt of such letter, that office shall carry out the transfer, entry, or deletion accordingly in the records maintained in its office. (3) An amount received for one purpose in the Fund shall not be spent for another purpose.

20. Fees Not Charged to the Fund: When the Fund takes collateral by executing a deed from a corporate body to which it has given a loan or investment, or when it registers property taken as collateral in its name, or when the Fund purchases or sells any immovable property, no revenue stamp or registration fee shall be charged to the Fund on such transaction. Chapter-7
Provisions Relating to Executive Director and Employees

21. Executive Director: (1) There shall be an Executive Director to function as the administrative chief of the Fund.
(2) The Government of Nepal shall form a three-member Recommendation Committee, including experts in relevant subjects, to recommend for the appointment of the Executive Director.
(3) The Committee pursuant to sub-section (2) shall select, on the basis of open competition, from among persons who have obtained at least a Master's degree in Management, Economics, Commerce, or Law from a recognized educational institution and have at least twelve years of experience in the field of industry, commerce, trade, public administration, revenue administration, management, or law, and recommend three persons to the Government of Nepal for appointment to the position of Executive Director.
(4) The Government of Nepal shall appoint a suitable person to the position of Executive Director from among the persons recommended pursuant to sub-section (3).
(5) The term of office of the Executive Director shall be four years, and if their work is found satisfactory, they may be reappointed to the position of Executive Director for one further term.
(6) Notwithstanding anything written in sub-section (5), if it appears that the Executive Director has failed to fulfill their official responsibilities or has done any act against the interest of the Fund, the Government of Nepal may, on the recommendation of the Committee, remove them from the position of Executive Director at any time. Provided that, before being removed in such a manner, they shall be given a reasonable opportunity to submit their defense.
(7) The remuneration, facilities, and other conditions of service of the Executive Director shall be as prescribed.
(8) Notwithstanding anything written elsewhere in this Section, if an Executive Director is not appointed or the Executive Director is suspended, the Ministry may designate any officer of the first class of the Nepal Civil Service (Gazetted) to function as the Executive Director. 22.

Functions, Duties, and Powers of the Executive Director: The functions, duties, and powers of the Executive Director shall be as follows:- (a) To prepare the policies and annual program of the Fund and submit them to the Committee, (b) To identify safe investment areas for the amount deposited in the Fund and recommend them to the Committee, (c) To protect and manage the assets and property of the Fund, (d) To prepare proposals for discussion in the Committee, (e) To implement or cause to be implemented the approved annual program of the Fund, (f) To inspect and monitor the work and activities of the Fund and submit reports to the Committee, (g) To implement or cause to be implemented the decisions and directives of the Committee, (h) To conduct daily administration as the administrative chief of the Fund, (i) To perform or cause to be performed other functions directed or delegated by the Committee. 23. Provisions Relating to Employees and Experts: (1) The Fund shall have the required number of employees. (2) The appointment, remuneration, facilities, and conditions of service of the employees under sub-section (1) shall be as prescribed. (3) Until employees of the Fund are appointed, the required employees shall be provided by the Government of Nepal. (4) Notwithstanding anything written in sub-section (3), if the Government of Nepal cannot provide the required number of employees, the Fund may appoint employees on contract until employees are appointed in the Fund. (5) The Fund may utilize the services of any expert as required. The service facilities provided to such expert shall be as determined by the Fund, subject to the prevailing law. Chapter-8 Miscellaneous 24. Body Designated to Operate the Fund: Until the Fund is formed under this Act, the Government of Nepal may, by publishing a notice in the Nepal Gazette, designate any body to perform work relating to the operation of the Fund. 25. Separate Records to be Maintained: The Fund shall maintain separate records of the amount received, the investment of such amount, and the accounts for employees and teachers receiving pension pursuant to the prevailing law and for employees receiving pension under the contributory pension system pursuant to this Act. 26. Provide Identity Card: (1) The Fund shall provide an identity card of the Fund to each employee. (2) The employee shall follow the procedures determined by the Fund to receive the identity card under sub-section (1). 27.

Power to Give Directives: (1) The Government of Nepal may give necessary directives to the Fund relating to the operation of the contributory pension system. (2) It shall be the duty of the Fund to comply with the directives received from the Government of Nepal pursuant to sub-section (1). 28. Power to Inspect and Supervise: The Ministry may inspect and supervise the Fund. 29. Accounts and Audit: (1) The accounts of the Fund shall be maintained in the format as prescribed, according to the accounting system adopted by the Government of Nepal. (2) The audit of the Fund shall be conducted by the Auditor General. (3) The Fund shall prepare an annual audit report and make it public. 30. Report to be Submitted: (1) The Fund shall prepare an annual report of its work done during the year and submit it to the Ministry by the end of Kartik. (2) The Fund shall make public the report prepared pursuant to sub-section (1). 31. Delegation of Powers: The Committee may delegate some of the powers vested in it under this Act and the rules made under this Act, as necessary, to the Chairperson, a Member, the Executive Director, or any officer employee of the Fund. 32. Contact with the Government of Nepal: When contacting the Government of Nepal, the Fund shall do so through the Ministry. 33. Not Entitled to Gratuity and Pension: (1) Notwithstanding anything written in the prevailing law relating to the conditions of service of teachers and employees, after the commencement of this Act, no employee, teacher, or office-bearer shall be appointed by the Government of Nepal, Provincial Government, Local Level, or any institution owned or controlled by the Government of Nepal or regularly receiving grants from the Government of Nepal in a manner that creates a liability for the Government of Nepal for gratuity and pension. (2) In respect of employees, teachers, and office-bearers under sub-section (1), the contributory pension system may be implemented by enacting a law. (3) While making a law pursuant to sub-section (2), provision may be made for the contributory pension system to be implemented through the Fund under this Act. 34. Power to Make Rules: The Government of Nepal may make necessary rules for the implementation of this Act. 35.

Power to Make Bye-laws: (1) Subject to this Act and the rules made under this Act, the Committee may make necessary bye-laws. (2) Without prejudice to the generality of sub-section (1), the Committee may make bye-laws on the following matters:- (a) Conditions of service, remuneration, and facilities of employees working in the Fund, (b) Other matters deemed necessary relating to the operation of the contributory pension system. (3) The bye-laws under sub-section (1) shall come into effect from the date of approval by the Ministry. 36. Make and Implement Guidelines: Subject to this Act and the rules or bye-laws made under this Act, the Committee may make and implement necessary guidelines relating to the daily operations of the Fund. 37. Amendment: The following Acts are amended as follows:- (1) In the Civil Service Act, 2049, the following Section 39B is substituted for Section 39B.:- "39B. Special Provision Relating to Contributory Pension Fund: (1) In respect of employees appointed to the Civil Service after the commencement of this Act, the provision pursuant to the prevailing law relating to the contributory pension system shall apply. (2) In respect of civil employees to whom the contributory pension system applies pursuant to sub-section (1), the provisions of Sections 35, 36, 37, 37A, 38, 39, 39A, and 39C shall not apply." (2) In the Nepal Health Service Act, 2053, the following Section 50A is added after Section 50:- "50A. Special Provision Relating to Contributory Pension Fund: (1) In respect of employees appointed to the Health Service after the commencement of this Act, the provision pursuant to the prevailing law relating to the contributory pension system shall apply. (2) In respect of employees to whom the contributory pension system applies pursuant to sub-section (1), the provisions of Sections 46, 47, 48, 49, and 50 shall not apply." (3) In the Act Relating to Legislature-Parliament Secretariat, 2064, the following Section 52 is substituted for Section 52:- "52. Special Provision Relating to Contributory Pension Fund: (1) In respect of employees appointed after the commencement of this Act, the provision pursuant to the prevailing law relating to the contributory pension system shall apply. (2) In respect of employees to whom the contributory pension system applies pursuant to sub-section (1), the provisions of Sections 48, 49, 50, 51, 53, 54, and 55 shall not apply."